

at the discretion of the lender. You'll be responsible for the interest that accrues on any type of loan during a period of forbearance. If you find yourself in a situation where you need to apply for forbearance, speak to someone at the institution that's servicing your loan to get more details.

What you want to avoid at all costs is **defaulting**, as there are serious repercussions. For one, you may have to pay hefty penalty fees and collection charges of up to 25%. In addition, you could find that the government withholds your tax refund and reduces your future Social Security payments.

Special Breaks for Those Who Help Out

There are also a number of **forgiveness** programs, which essentially cancel your student debt after a certain period of time. The laws vary by state and by loan type, so to find out more, visit www.studentloanborrowerassistance.org and www.finaid.org. You may be eligible if:

- **You teach.** Teachers who work in a school designated as “low income” by the government can apply to have their loans (both Direct and FFEL Program) partially cancelled after five years. Benefits vary by state, and there's more information available at the American Federation of Teachers website (www.aft.org). There are also specific benefits for people who join the AmeriCorps teaching and community service program (www.americorps.org).
- **You work in public service.** People working full-time in public service careers (such as law enforcement) can get their remaining debt canceled after ten years of employment. You have to be in the Direct Loan Program or have consolidated your loans into it in order to take advantage of this.
- **You join the Peace Corps.** Volunteers may apply for deferment of Stafford loans (either through the Federal Direct Loan Program or the FFEL Program) and Perkins